Title: Target Brazil – E-commerce Analysis
Prepared for: Target Brazil Data Team
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1. Introduction

Target expanded into Brazil and collected two years of transactional data. This analysis was conducted to:

- Understand how the e-commerce business performed over time.
- Identify logistics bottlenecks and high-cost regions.
- Find opportunities to grow sales and improve customer experience.

The data covers orders, customers, payments, freight, and delivery times from September 2016 to October 2018.

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2. Data Overview

- **Customers:** Information on ~4120 unique cities across 27 Brazilian states.
- **Orders:** Approximately 99,000 orders over the two-year period.
- **Time span:** From 2016-09-04 to 2018-10-17.

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3. Key Insights

3.1 Business Growth

- Orders grew from **329 in 2016** to **45,000 in 2017**, and then to **54,000 in 2018** – a rapid expansion.
- The total order value increased by about **138%** between Jan–Aug 2017 and Jan–Aug 2018, meaning customers spent more per order as well.

3.2 Seasonal Patterns

- Peaks occur in **late spring and summer** (November 2017: 7,544 orders; January 2018: 7,269 orders).
- A secondary peak appears in early autumn (March 2018: 7,211 orders).

3.3 Time of Day

- Most orders are placed in the **afternoon (38,361)** and **night (34,100)** – together about 73% of all orders.
- Dawn hours have very little activity.

3.4 State-wise Distribution

- **São Paulo (SP)** holds 42% of all unique customers and contributes the highest revenue (~5.2M).
- SP also has the **lowest average freight** (R$ 15.15) and the **fastest average delivery** (8.7 days).
- Northern and Northeastern states (e.g., RR, PB, AP) have **higher freight costs** (up to R$ 42.98) and **much longer delivery times** (nearly 30 days for RR and AP).

3.5 Delivery Performance

- Average fulfillment cycle: **12.09 days**.
- Average forecast error: **10.96 days** – meaning customers receive their orders about 11 days earlier than the promised date.
- The gap between fastest (SP, 8.7 days) and slowest (RR, ~30 days) states is around 20 days.

3.6 Payment Methods

- **Credit cards** dominate, accounting for about 75% of orders, and grew from 254 orders in Oct 2016 to 4,900 in Aug 2018.
- **UPI** usage slightly declined from 20% to 17%.
- **Debit cards** saw a sudden jump from 0.71% to 4.14% in June–Aug 2018 – worth investigating.
- **Vouchers** became nearly 100% of the recorded payments in the final months (Sept–Oct 2018).
- About **52%** of orders are paid in full; **31.6%** use 2–4 installments; a small segment uses 10+ installments for high-ticket items.

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4. Recommendations

4.1 Focus on High-Potential States

- SP already has 42% of high-value customers – prioritize faster delivery, loyalty rewards, and new features here.
- Northern states (PE, CE, PA) have higher average order values (R$ 150+). Promote premium products to maximize revenue in those areas.

4.2 Optimize Logistics for Remote States

- Open a small warehouse in the Northeast to reduce the average shipping cost of R$ 42.
- Experiment with free shipping on high-value orders in the Northeast – encourages customers to buy more, making the high travel cost worthwhile.

4.3 Capitalize on Seasonal Peaks

- Stock main warehouses by October to prepare for the November–March peak.
- Use “morning-only” discounts to shift some orders to earlier hours, balancing warehouse workload.

4.4 Promote Alternative Payment Methods

- Offer a small discount (2–3%) for using UPI or debit cards to reduce credit card processing fees.
- Highlight interest-free 10-installment plans for expensive electronics or furniture to boost high-ticket sales.

4.5 Improve Delivery Communication

- Update the estimated delivery dates at checkout to reflect the actual 12-day average – this will increase trust and conversion.
- For remote states, partner with local delivery companies to cut wait times and reduce churn.

4.6 Leverage Customer Reviews & Communication

- Use “Arrived 10 days early!” stories in advertisements to build trust.
- For far-away customers, send a “we’re almost there” message halfway through delivery to make the wait feel shorter.

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5. Conclusion

Target Brazil’s e-commerce business grew strongly over the two-year period. While São Paulo drives the majority of volume and revenue, significant opportunities exist in under-served Northern states. By adjusting logistics, payment incentives, and delivery communication, the company can improve margins, customer satisfaction, and overall growth.